Minerals race: Even Australia feeling the squeeze

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【メール原文】

Dear Clients, The sharp elbows are coming out in the world powers' quest for minerals. And countries across the board will feel the blows. We recently

Practice Letter

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Australian mining titans aren’t safe from critical minerals squeeze

This is the latest in a series of periodic letters to clients in which Eurasia Group's practices present their views on forthcoming political and macro developments for their regions or sectors.

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Dear Clients,

The sharp elbows are coming out in the world powers' quest for minerals. And countries across the board will feel the blows.

We recently outlined how risky this is becoming for Europe. Brussels' fiscal constraints and deliberative nature are leaving it vulnerable as China and the US become more aggressive (see: EU critical minerals strategy will continue to lag behind competitors , 1 October 2026). Beijing is doubling down to deepen its dominance of minerals markets, while Washington is trying to spend its way back into those markets (see: China, the middle powers, and the global minerals race , 24 July 2026). Their moves are pushing European interests out of key assets and even further to the back of the line for access to critical materials.

This letter focuses on Australia and how the risks are rising even beyond the mineral have-nots of the world. Australia’s stability and bountiful reserves have it in the eye of investors, but the country’s ties are so deep to both Beijing and Washington that the balancing act required can create political landmines. Especially at a time when the White House treats minerals as such a zero-sum game even with its traditional allies, Australian political and corporate leaders will have to wrestle with international powers that want to extract concessions even as they provide investment.

China wants more Australian ancillary mining jobs, risking political backlash for miners

In my recent visits to Sydney and Western Australia, the most interesting under-the-radar ideas I heard had a common theme: Chinese and US entities are trying to extract more jobs for their own people out of Australia’s mining-related businesses. This is happening in white-collar sectors—design, engineering, and finance—and will lead to political consternation in Canberra when it becomes widely known.

Engineering and design firms are China’s prime target. China has developed vast experience in infrastructure development. Its architecture, design, and engineering companies have a growing reputation for quality as well as cost. In July, Australian giant BHP awarded a contract to China Nerin Engineering worth 200 million Australian dollars ($140 million) for part of a copper processing

expansion project in South Australia. Industry sources say Beijing is using its buying power as leverage over big, China-reliant Australian miners to demand that their contractors give more subcontracting work to such Chinese firms. For Beijing, the incentive is obvious: more jobs for Chinese workers and currency benefits for the economy. And for Australian mining giants, the influence is hard to resist.

A sustained loss of highly prized engineering and design jobs to China through corporate strong-arming could set off a political firestorm. China's power and Australia's economic reliance on it are already sensitive subjects. Companies that make those vulnerabilities worse risk a backlash from Canberra, especially when outsourcing jobs prized by unions. Organized labor has deep influence with the current Labor government and has been advocating for more local content and less outsourcing. Pushing against that current as a company risks uncomfortable government scrutiny over licenses and approvals.

Mining will be a continued source of Canberra-Beijing friction

Irreconcilable geopolitical differences are dark clouds in a generally sunny period for Australian mining. Because of China's market power, Prime Minister Anthony Albanese's administration is trying to keep its relationships with Beijing and Washington separate. But Beijing sees a serious threat from Washington's attempts to build a China-free minerals supply chain—one that often features Australian supply. To smooth various frictions, Australian miners have been starting to borrow from Chinese banks—and in yuan—and spend more on heavy equipment from Chinese manufacturers. But these efforts to placate China encourage Beijing to apply more pressure and expect more concessions. There will be more conflicts like the protracted negotiations earlier this year with the state-backed iron ore buyer, China Mineral Resources Group Co.

Australia's Foreign Investment Review Board will keep getting more aggressive

The board can advise the government to reject foreign investment and has already ramped up pressure this year to force Chinese investors out of heavy rare earths development. Expect it to intervene against Chinese investors in mining developments near military sites in the center of the country. Eurasia Group understands other Asian embassies have been told their interests will not get swept up in such moves, as the ostensibly broad-based measures will in effect be aimed at China. Policymakers in Beijing see these developments with clear eyes and consider investing in minerals there basically off the table, with legal costs too high, regulators too obstinate, and the political environment too pro-US.

US bankers in demand as Australia looks for Western financial muscle

There is strong demand for New York-based bankers—and London-based as well—for Australian mining assets. Sources say Australian mining is already saturated with domestic bankers. The US is becoming a much bigger source of mining investment—with a specific interest in Australian minerals. That said, it's difficult to find bankers with the connections, patience, and institutional knowledge to handle the Australian market from New York.

Industrial policy from Washington is a major factor, including a bilateral deal for the US and Australia to invest about $3.5 billion jointly. Around the Diggers and Dealers Mining Forum—a major Australian conference—in August, a US government deal with Australia's Sunrise Energy Metals captured attention. The company secured $400 million in long-term debt financing from Washington for the world's first mine primarily for scandium, in New South Wales. Within days Sunrise said it would—and then eventually did—pursue a primary stock listing and corporate redomiciling in the US. Another rare earths producer, Australian Strategic Materials, was acquired this year by the US company Energy Fuels Inc.,

which also went on to obtain a $725 million conditional loan commitment from the same office at the Pentagon. With that type of financing and M&A activity on the line, it makes sense to have more bankers who understand the US system.

Industry officials further say that Australian startups of all types have been moving or gravitating toward Singapore, Japan, and the US for some time. Australia, as mining-friendly as it is, is still small and limited in how much capital its markets can provide. It makes sense that mining companies, especially new or junior miners, are following the larger trend and looking abroad for fundraising.

No dealers at Diggers amid shake-up in mining conference scene

Participants at Diggers and Dealers said this year's conference illustrated how much the event has changed over the last decade. Once notorious for its party scene and big draw, the event has become a little tamer and the draw a little smaller. The most established majors had no presence, and service providers are becoming more prominent among the exhibitors. Attendees said that never happened during the peak years, when even miners could get waitlisted for a booth in an at-capacity exhibit hall. Most importantly, the finance sector had minimal representation this year, even at a time of exuberance over historically high prices for gold, copper, aluminum, and niche critical minerals Australia is blessed with. Several presenting junior miners were eager to mention the tungsten byproduct in their reserves. The running joke at the event was that it was all diggers but no dealers there to hear them.

Industry sources around the country say the investors are becoming fonder of the Noosa Mining Investor Conference, held at a seaside resort north of Brisbane just a few weeks before Diggers and Dealers. The International Mining and Resources Conference + Expo (IMARC), scheduled for Sydney in late October, is the biggest of all. IMARC is also the most likely to draw policymakers and geopolitical conversation.

Eurasia Group travels: Australia again and LME Week

The Energy & Resources team's Senior Analyst Herbert Crowther will be in Perth on 29 and 30 October. He will be meeting with clients to discuss his coverage of clean-energy policy, risks to global supply chains, US-China scenarios, and Chinese export controls, among other topics.

I will be in London even sooner, from 18 to 23 October. I will be attending LME Week events and meetings to share views from Washington on metals markets and midterms, my recent travels to Australia and Brazil, and the emerging political and concentration risks in AI for aluminum and copper markets.

Please get in touch if you'd like to connect with either of us on these visits.

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